

Morning Briefing 2026-10-06

London pre-open

1. HEADER

Tuesday 6 October 2026. Generated 06:20 London time (BST, 05:20 UTC).

Data collected by web search between about 05:10 and 05:20 UTC. Web search snippets conflicted on several figures. Unverified figures are marked n/a.

2. IMPORTANT NEWS

US 10Y Treasury yield hit 5.349% intraday, highest since April 2002

Source: CNBC

Why it matters: Long-end selloff continues even as weak payrolls (+29k vs 90k consensus) cut October Fed hike odds to about 24%.

Euro at 17-month low (1.1161) on France fiscal worries and Spanish snap election

Source: CNBC, FXStreet, Reuters

Why it matters: French OAT-Bund spread near 147bp, widest since 2012. Sovereign stress is the main European risk.

Schneider Electric to buy PTC for \$205/share cash, about \$22.6bn

Source: Reuters via Yahoo Finance, Investing.com

Why it matters: Schneider fell 7% to 10%, CAC 40 fell 0.8%. PTC jumped about 34% pre-market. European software rallied.

Nasdaq record close at 27,477.31, Nvidia record close

Source: CNBC, Detroit News

Why it matters: Tech leadership holds despite 5%+ Treasury yields. Supports US futures this morning.

Brent settled at \$100.32, down 1.89%, as Middle East exports rise and G7 releases stocks

Source: CNBC, Reuters via Business Recorder

Why it matters: Supply relief offsets Gulf infrastructure risk from the US-Israeli war on Iran. Energy and inflation read-through.

3. EUROPEAN FUTURES (PRE-OPEN)

Contract	Level	Expected move
Euro Stoxx 50 futures	n/a	About flat (premarket, per Reuters)
DAX futures	n/a	n/a
CAC 40 futures	n/a	n/a
FTSE 100 futures	n/a	n/a
S&P 500 futures	n/a	Edged higher in early Asia
Nasdaq 100 futures	n/a	+0.2%

Collected about 05:20 UTC. Levels not reliably sourced.

4. YESTERDAY'S CLOSES (MON 5 OCT)

Index	Close	Change
STOXX 600	n/a	+0.4%
Euro Stoxx 50	n/a	n/a
DAX	n/a	n/a
CAC 40	n/a	-0.8%
FTSE 100	n/a	n/a

STOXX 600 closed higher on banks. CAC 40 was the worst performer on French fiscal fears (six-month low) and Schneider's slide. One snippet showed all four indices up 1%, but it conflicted with Reuters and Irish Times, so it is excluded.

Sources: Irish Times/Reuters, Business Recorder. Collected about 05:20 UTC.

5. US MARKETS: YESTERDAY'S SESSION

Index	Close	Change
S&P 500	7,773.99	+0.66%
Dow Jones	51,267.90	+0.18%
Nasdaq Composite	27,477.31	+1.05%

Tone: risk-on, tech-led. Nasdaq and Nvidia closed at records. Software and services led (S&P software and services index +1.4%). Communication services and utilities also led. Chips were soft early (SOX -0.3%).

Takeaway: soft payrolls and lower Fed hike odds outweighed 5%+ Treasury yields.

Sources: CNBC, Detroit News, Yahoo Finance. Collected about 05:20 UTC.

6. ASIAN MARKETS: OVERNIGHT SESSION

Index	Level	Change
Nikkei 225	n/a	Higher (+0.3% to +0.7% in snippets)
Hang Seng	n/a	Higher (+0.7% to +0.95% in snippets)
Shanghai Composite	n/a	Closed (Golden Week holiday)
Kospi	n/a	Mixed (-0.2% to -0.75% in snippets)

Tone: modestly positive, following Wall Street's tech rally. Mainland China is shut for Golden Week. Search snippets disagreed on exact moves and one set of closing figures was implausible for the time of day, so levels are n/a.

Sources: search summaries of Reuters, Investing.com. Collected about 05:25 UTC, sessions still open.

7. COMMODITIES

Commodity	Level	Change
Brent (settle 5 Oct)	\$100.32	-1.89%
WTI	about \$91 (intraday 5 Oct)	n/a
Gold	about \$4,139/oz	-0.03%
Natural gas	\$3.03/MMBtu	-0.05%
Copper	\$6.51/lb	+0.33%

Brent fell as Middle East crude exports ran above pre-war levels on four of seven days in late September and the G7 moved to release stocks.

Sources: CNBC, Reuters, Trading Economics. WTI sources conflicted (\$89.62 vs about \$91). Collected about 05:25 UTC.

8. RATES & FX

Instrument	Level	Change
US 10Y yield	5.307% (intraday, high 5.349%)	+3bp
German 10Y Bund	about 3.43%	n/a (sources conflict)
EUR/USD	1.1161 low on 5 Oct (17-month low)	-0.35% (day)
GBP/USD	1.3231	-0.08%
DXY	102.19	+0.26%

US 10Y reached its highest level since April 2002. The 30Y touched 5.703%. DXY hit 102.53, highest since April 2025. A morning FX headline had EUR/USD below 1.1250, so the current level is n/a.

Sources: CNBC, Trading Economics, FXStreet. Trading Economics showed 10Y down 3bp at 5.26%, which conflicts with CNBC. Collected about 05:25 UTC.

9. DCM: PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

Issuer	Segment	Size	Maturity	Pricing	Detail
Volvo Treasury AB	Corporate IG	n/a	3yr and 5yr	n/a	Books EUR 3.65bn (peak 3.9bn). NIP 2bp (3yr), 5bp (5yr)
State of Hesse	SSA	n/a	10yr LSA	MS+20	New issue
Other three issuers	n/a	n/a	n/a	n/a	Day total five issuers, EUR 6.3bn

Source: Informa/IGM daily close snippet. IPT-to-pricing data n/a. Collected about 05:25 UTC.

PIPELINE / EXPECTED TODAY

n/a. No reliable mandate list found in public sources.

KEY SPREADS

Measure	Level	Move	Direction
iTraxx Main	n/a	n/a	n/a
iTraxx Crossover	n/a	n/a	n/a
CDX IG	n/a	n/a	n/a
Avg euro corporate IG spread	n/a	n/a	n/a
Context: France OAT-Bund 10Y	about 147bp	Touched about 159bp on Fri 2 Oct	Widening

Credit index levels were not found. The OAT-Bund spread is sovereign context, not a credit index.

COMMENTARY

The euro primary window is open. Monday's EUR 6.3bn across five issuers was the busiest SSA day in weeks, and Volvo's books were solid with small new issue premiums. Sovereign stress in France and Spain is the main risk to execution and could widen financials and periphery paper. No industrials, transport, energy or financials pipeline detail could be confirmed.

10. ECONOMIC CALENDAR (TUE 6 OCT)

London time	Indicator	Consensus	Importance
about 08:30 (typical)	Eurozone Sentix investor confidence	4.5 (prev 5.1)	Medium
about 09:00 (typical)	Eurozone final services PMI	53.0	Medium
about 09:30 (typical)	UK final services PMI	51.7	High
about 09:30 (typical)	UK construction PMI	45.5 (prev 44.3)	Medium
about 10:00 (typical)	Eurozone PPI m/m	1.9% (prev 1.6%)	Medium
about 14:45 (typical)	US final services PMI	58.7	Medium

Release times are the usual schedule and were not confirmed by the source. Also: Spanish parliament dissolution due today. US PCE is not due until 29 Oct.

11. CORPORATE EVENTS & EARNINGS

Schneider Electric / PTC: \$205/share cash offer, about \$22.6bn, closing expected by Q3 2027. Investors are focused on debt load and dilution.

Earnings and AGMs today: n/a. No reliable schedule found. US Q3 earnings season starts shortly.

12. STOCKS TO WATCH

Company	Reason	Probable direction
Schneider Electric	Largest-ever deal, leverage and premium concerns after a 7% to 10% fall	Volatile, risk of further weakness or rebound
PTC	\$205/share cash offer, shares up about 34% pre-market	Up, capped near offer price
Dassault Systemes	Sector read-across, seen as consolidation candidate	Up
Nemetschek / TeamViewer	European software rally on the PTC deal (Nemetschek +1.9%, TeamViewer +3.2% on Monday)	Up, may fade
French banks	OAT-Bund at 2012-era widening, French stocks at six-month low	Down bias
Nvidia	Record close, leads US tech	Up, supports tech sentiment

No confirmed catalysts found for aviation, shipping, mining or defense names today.

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US payrolls rose 29,000 in September against a 90,000 consensus. October Fed hike odds fell to about 24%.

US Fed meeting is 27-28 Oct. ECB decision is 29 Oct. September Fed minutes are due Wednesday.

ECB's Lane conceded demand destruction as the euro carries French budget and Spanish election risk.

CORPORATE

Schneider buys PTC. European software stocks rise.

Nasdaq and Nvidia at records ahead of Q3 earnings season.

POLITICAL / GEOPOLITICAL

France unveiled a EUR 43bn austerity package on 1 Oct. It failed to calm markets. A EUR 54bn budget vote is near and another government collapse is feared.

Spain's Sanchez called a snap election for 29 Nov. Spanish 10Y about 4.08%, spread to Bunds about 65bp.

US-Israeli war on Iran continues, with risk to Gulf oil infrastructure.

14. KEY THEMES: TOP 5 BY HORIZON

TODAY'S TOP 5

US 10Y near 5.3%: A yield break above 5.35% would pressure equities and the euro.

France fiscal stress: OAT-Bund spread near 147bp drives euro and bank moves.

Schneider/PTC reaction: Sets tone for European large-cap M&A and software.

Brent near \$100: Supply relief versus Gulf risk.

Services PMIs: UK, Eurozone and US final readings test growth.

THIS WEEK'S TOP 5

Spain election run-up: Parliament dissolution on 6 Oct, vote on 29 Nov.

Fed minutes (Wed): Read on appetite for another hike.

French budget vote: Collapse risk would widen spreads further.

US long-end yields: 30Y at 5.7% highs tests duration demand.

Euro near 1.11 to 1.12: Break lower targets 1.10.

THIS MONTH'S TOP 5

US CPI, 14 Oct: Key input to Fed hike odds.

Q3 earnings season: Tests tech valuations at record highs.

FOMC, 27-28 Oct: Hike or hold decision.

ECB, 29 Oct: Policy response to euro weakness and sovereign stress.

US PCE, 29 Oct: Final inflation print of the month.

15. KEY TRENDS TO WATCH

1 DAY

Whether Bund and OAT yields stabilise and the euro holds above 1.11. US 10Y direction versus the 5.349% high.

1 WEEK

Fed minutes, French budget vote, Spain dissolution, oil supply headlines, start of earnings season.

1 MONTH

Fed (28 Oct) and ECB (29 Oct) decisions, US CPI (14 Oct), Spain election (29 Nov), 2002-high Treasury yields and global duration demand.

Sources: CNBC, Reuters (via Yahoo Finance, Investing.com, Business Recorder, Irish Times), Detroit News, Trading Economics, FXStreet, Gulf News, Informa/IGM, MarketScreener, newsquawk, investinglive. Bloomberg, IFR and GlobalCapital pages could not be opened (network blocked), so cross-referencing was limited.

Data collected automatically. Verify before making any decision.